

LOCAL_BANK — violates
BCNF

institution_id (PK)

bank_tier_id

base_rate, kink_utilisation,
rate_above_kink, max_rate
(determined by
bank_tier_id — a non-key
determinant)

Apply BCNF: extract the
rate parameters into a table
keyed by their determinant

INTEREST_RATE_TIER

tier_id (PK)

base_rate, kink_utilisation,
rate_above_kink, max_rate

referenced by

LOCAL_BANK

institution_id (PK)

tier_id (FK)